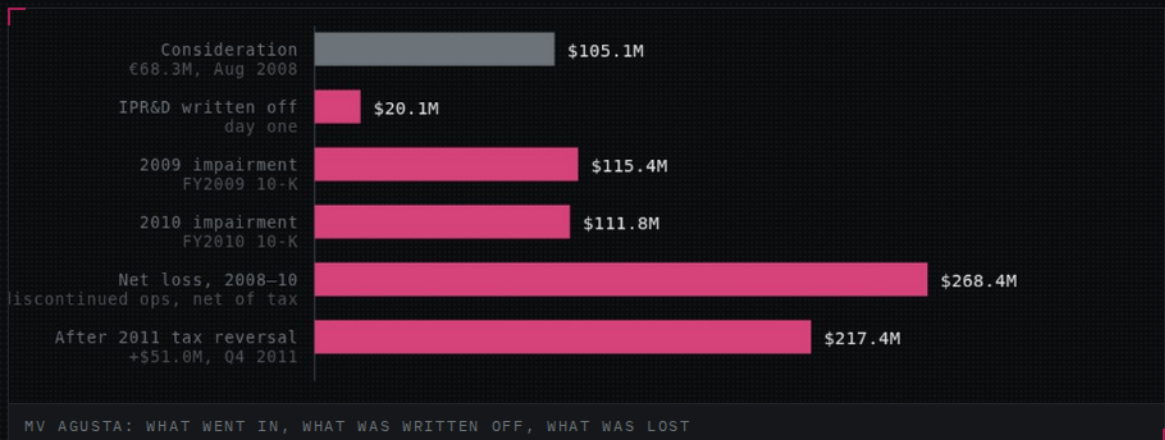


HARLEY-DAVIDSON: OUTSIDE IN • PART 2 OF 4

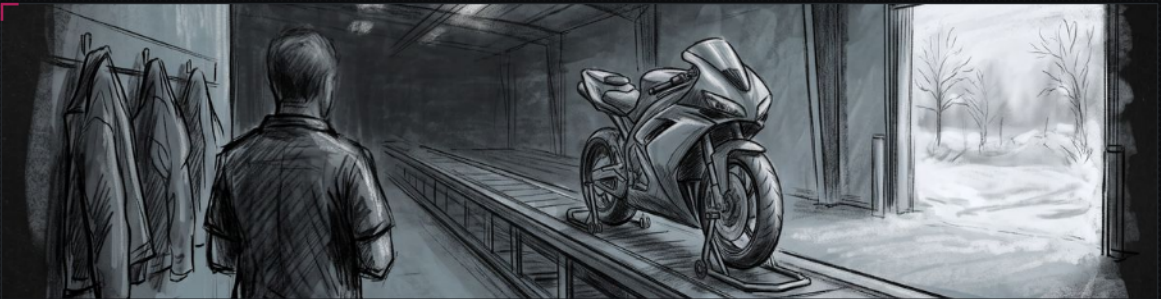
SAME SENTENCE.

Buell and MV Agusta. What the two biggest outside purchases cost, from the filings, and the words used to end both.



HARLEY-DAVIDSON: OUTSIDE IN · THE ROUTE

FOUR PARTS. ONE THESIS.



EAST TROY, OCTOBER 2009

East Troy, October 2009. The last Buell. Production ended at the end of the month, employment on December 18.

PART 1 OF 4

THE RECORD

Sixteen moves in one table. Brands go. Channels stay.

PART 2 OF 4 · THIS POST

SAME SENTENCE

Buell, MV Agusta, and the words used both times.

PART 3 OF 4

TOO SMALL TO SAY

Alta, never disclosed. StaCyc, \$14.9M, 33 to 1.

PART 4 OF 4

THE SPRINT & THE FINAL WORD

1960: an Aermacchi. 2026: a Hero. What it was for.

BUELL • 1993-2009

1993 • 49% STAKE

~\$500K

SECONDARY SOURCE

2008 • UNITS SHIPPED

13,119

\$123.1M REVENUE

14 OCT 2009 • EXIT COST

~\$125M

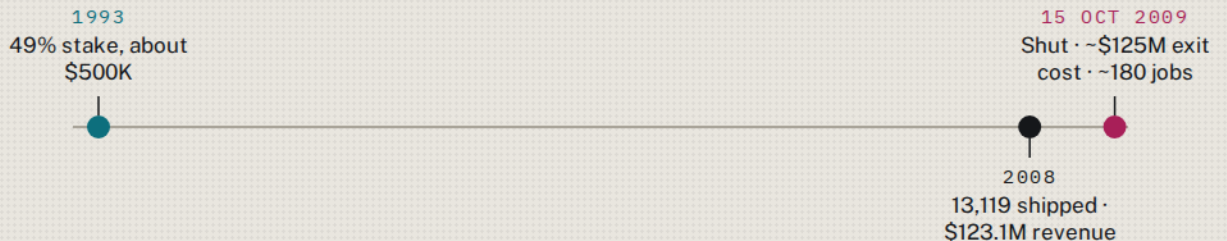
Q3 2009 10-Q, NOTE 19

~\$70M incentives, inventory and operating costs. ~\$14M fixed assets. ~\$9M severance. ~\$32M contracts. The realized total was never reported on its own.

JOBS

~180

80 HOURLY, 100 SALARIED



BUELL, SIXTEEN YEARS • THE EXIT COST 250 TIMES THE ENTRY

KEITH WANDELL · FIVE MONTHS INTO THE JOB · 15 OCTOBER 2009

“The fact is we must focus both our effort and our investment on the Harley-Davidson brand, as we believe this provides an optimal path to sustained, meaningful, long-term growth.”

8-K EX. 99.1 · FILED WITH THE SEC

Erik Buell, eighteen months later: “They didn’t shut down Buell because they were mean.” He was right. They shut it because it was a second brand in a building with room for one.

KEITH WANDELL'S FIRST YEAR AS CEO · 1 MAY 2009 TO 30 APR 2010

1 MAY 2009 · TAKES THE JOB

15 OCT 2009 · BUELL SHUT

FIVE MONTHS

MV AGUSTA FOLLOWED ON 6 AUGUST 2010, FIFTEEN MONTHS IN

SOURCE: 8-K 15 OCT 2009 · POWERSPORTS BUSINESS 14 MAR 2011

CONTACT PATCH ADVISORY



MV AGUSTA, 2008

MV Agusta. \$105 million in, \$268 million out, sold back to the seller for a euro.

MV AGUSTA • BOUGHT 8 AUGUST 2008

TOTAL CONSIDERATION

€68.3M

\$105.1M • INCL. €47.5M OF BANK
DEBT

GOODWILL BOOKED

\$85.8M

FY2009 10-K, FINAL ALLOCATION

IPR&D WRITTEN OFF ON ARRIVAL

\$20.1M

A FIFTH OF THE PRICE, DAY ONE

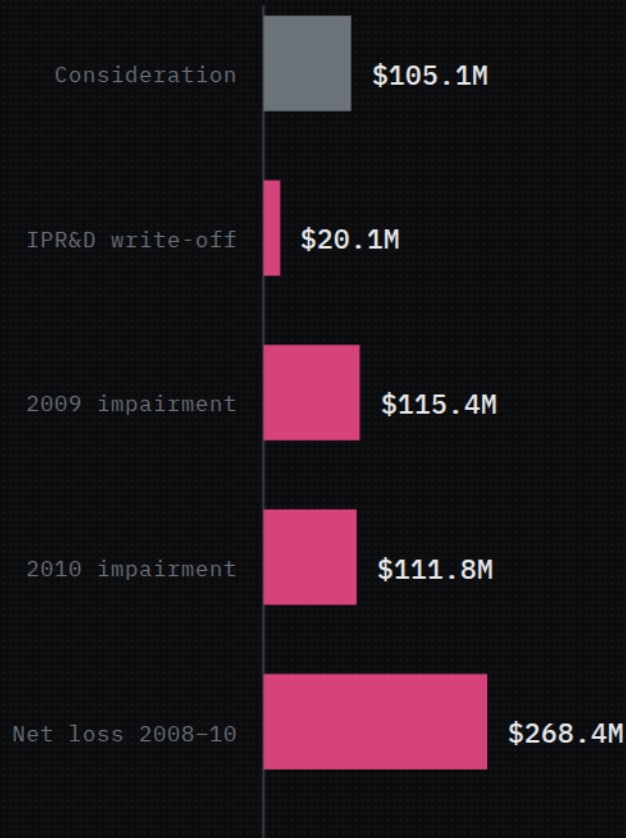
Jim Ziemer, announcing it: “Motorcycles are the heart, soul and passion of Harley-Davidson, Buell and MV Agusta.” He retired nine months later.

MONTHS OWNED

24

8 AUG 2008 – 6 AUG 2010

\$105 MILLION IN. \$268 MILLION OUT.



Loss from discontinued operations, net of tax: \$29.5M (2008) + \$125.8M (2009) + \$113.1M (2010). **2.55 times the purchase price, or \$11.2M for every month Harley owned it.** A \$51.0M tax reversal in 2011 nets it to \$217.4M.

THE SALE · 6 AUGUST 2010 · THE 10-K SAYS “NOMINAL CONSIDERATION”

THE AGREEMENT SAYS WHAT NOMINAL MEANS.

THE SHARES	All 120,000 shares of MV Agusta Motor S.p.A., “for a consideration of Euro 1 (one).”
THE U.S. COMPANY	MV Agusta USA LLC, for US\$1.
THE RECEIVABLE	€103,789,617.60 Harley had lent its own subsidiary. Sold for €1.
CASH LEFT INSIDE	A capital increase of €20,000,000, paid into escrow.
THE EARN-OUT	Castiglioni’s 2016 payment “finally and irrevocably waived.”

THE RECEIVABLE HARLEY HAD LENT MV AGUSTA

€103.8M

CASH LEFT INSIDE, IN ESCROW

€20.0M

PRICE FOR THE SHARES, THE LLC AND THE RECEIVABLE

€1 + \$1 + €1

THE SALE, 6 AUG 2010 · € MILLIONS · “NOMINAL CONSIDERATION”, ITEMISED

€1, €2 OR €3? ALL THREE ARE RIGHT.

THE SHARES

€1

THE U.S. LLC

\$1

THE RECEIVABLE

€1

“€1” is the share price. “€3” is the press adding three nominal payments. “€2” counts only the euros.

The 10-K reports **“an immaterial loss on the date of sale.”** Also true. By August 2010 there was nothing left to lose.

KEITH WANDELL · 6 AUGUST 2010

“Our decision to divest MV Agusta reflects our strategy to focus our efforts and our investment on the Harley-Davidson brand.”

H-D RELEASE · MV AGUSTA SALE

1996: “CORE MOTORCYCLE BUSINESS.” 2009, 2010: “THE HARLEY-DAVIDSON BRAND.”

The words repeat because the decision does. A second brand that competes with Harley-Davidson for engineering dollars does not survive the next CEO.

1996

“the core motorcycle business” · Holiday Rambler sold

2009

“investment on the Harley-Davidson brand” · Buell shut

2010

“investment on the Harley-Davidson brand” · MV Agusta sold

THE SAME SENTENCE, THREE EXITS

MV IS THE ONE TIME HARLEY BOUGHT BIG.

It lost 2.55 times the purchase price in twenty-four months and handed the factory back to the family it bought it from. The same Castiglioni took Aermacchi off Harley's hands in 1978.

The company learned the lesson. Every outside move since has been sized to be forgettable.

Next: the two that were too small to disclose.

PAID FOR MV AGUSTA • 2008

 \$105.1M

LOST ON MV AGUSTA • 24 MONTHS

 \$268.4M

RECEIVED ON THE WAY OUT • 2010

 €1

\$ MILLIONS • 2.55 TIMES THE PURCHASE PRICE, AND THE FACTORY BACK TO THE FAMILY IT CAME FROM

PART 1 ✓

The Record

PART 2 ✓

Same Sentence

PART 3

Too Small to Say

PART 4

The Sprint

NEXT · PART 3 OF 4

TOO SMALL TO SAY.

Alta Motors: one sentence, no number, bounded by Alta's own Form D. StaCyc: \$14.9 million, and it outsells LiveWire 33 to 1.

FULL BRIEF, EVERY
SOURCE LINKED:
CONTACTPATCHADVISORY.COM/GROUNDTRUTH/03/